IN THE HIGH COURT OF KARNATAKA AT BENGALURU
DATED THIS THE 23RD DAY OF FEBRUARY, 2023
BEFORE
THE HON'BLE MRS. JUSTICE K.S. VEENA HIREMATH

CRIMINAL PETITION NO. 7733 OF 2022

BETWEEN:

SRI NAGESH PRABHU
S/O LATE VASUDEVA PRABHU,
AGED ABOUT 58 YEARS,
R/AT NO.7, RATHA BEEDI,
UDUPI - 576 101. **...PETITIONER**

(BY SRI K. SHASHIKIRAN SHETTY, SENIOR ADVOCATE FOR SRI AMEET KUMAR DESHPANDE, ADVOCATE)

AND:

M/S SOUPARNIKA AGRO FOODS,
A PARTNERSHIP FIRM,
REPRESENTED BY ITS PARTNER
SRI NARAHARI SOMAYAJI,
MANGALURU - 575 001. **...RESPONDENT**

(BY SRI HARISH A. BHAT, ADVOCATE)

THIS CRIMINAL PETITION IS FILED UNDER SECTION 482 OF CR.P.C., PRAYING TO SET ASIDE THE ORDER DATED 28.09.2022 PASSED IN C.C.NO.1033/2021 BY THE PRINCIPAL CIVIL JUDGE AND JMFC, UDUPI, DIRECTING PAYMENT OF INTERIM COMPENSATION UNDER SECTION 143A OF THE NEGOTIABLE INSTRUMENTS ACT, 1881.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 09.02.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

ORDER

1. The petitioner, who is the accused in C.C.No.1033/2021 on the file of the Principal Civil Judge and JMFC, Udupi, is before this Court challenging the order dated 28.09.2022 by which he has been directed to pay interim compensation of Rs.1,80,000/- being twenty per cent of the cheque amount of Rs.9,00,000/- to the complainant, in exercise of the power under Section 143A of the Negotiable Instruments Act, 1881 (“the NI Act”).

2. The respondent-complainant, a firm dealing in processed foods, filed a complaint under Section 138 of the NI Act alleging dishonour of a cheque issued towards

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the price of goods supplied. The petitioner appeared and pleaded not guilty when the substance of accusation was read over to him. On the application of the complainant, the trial Court directed payment of interim compensation.

3. Sri Shetty, learned Senior Counsel for the petitioner, submits that the word "may" in Section 143A is discretionary, that the trial Court has not considered the defence of the petitioner, and that the Delhi High Court in Kartar Singh Malhi v. M/s Gurukripa Finance & Investment Co. (Crl.M.C. 1902/2022, decided on 27.09.2022) and the Bombay High Court in Ramesh Kisanrao Wagh v. Sai Krupa Enterprises (Criminal Writ Petition No. 2211 of 2022, decided on 19.01.2023) have so held.

4. Sri Bhat, learned counsel for the respondent, submits that the provision is intended to protect honest payees from the delay inherent in trials, that the legislative object would be defeated if every accused could resist payment by raising a bald defence, and that the Supreme Court has read the word "may" in Section 148 of the NI Act as "shall" in Devraj Mohanty v. Sundaram Plastomers Ltd. (Criminal Appeal No. 1421 of 2022, decided on 23.08.2022).

5. I have given my anxious consideration to the submissions. The question for decision is whether the power to direct interim compensation under Section 143A of the NI Act is mandatory or directory at the stage of framing of notice of accusation.

6. Section 143A was inserted by the Negotiable Instruments (Amendment) Act, 2018 to address the pendency of cheque dishonour cases and the use of delaying tactics by drawers. The provision commences with a non obstante clause and prescribes the stage, the cap of twenty per cent and the consequences of default. These features indicate that the Legislature intended a time-bound and effective mechanism, and not a power to be exercised only if the Magistrate is in a mood to do so.

7. The Supreme Court in Devraj Mohanty (supra) has read the word "may" in the proviso to Section 148 of the NI Act as "shall" in view of the object of the amendment. The same reasoning applies to Section 143A, which was enacted by the same amending Act and with the same purpose.

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8. This Court holds that the expression "may" in Section 143A(1) of the Negotiable Instruments Act, 1881 must, in the context and object of the provision, be read as "shall", and the trial Court is bound to direct payment of interim compensation upon the accused pleading not guilty, subject only to the statutory ceiling of twenty per cent.

9. With utmost respect to the High Courts of Delhi and Bombay, I am unable to subscribe to the view that the power is merely discretionary. The safeguards for the accused lie in the cap of twenty per cent, in the facility of instalments and in the power of the Court to order refund with interest upon acquittal under sub-section (4).

10. In the result, I pass the following:

ORDER

(i) The criminal petition is dismissed.

(ii) The petitioner shall deposit the interim compensation of Rs.1,80,000/- before the trial Court within eight weeks from today.

Sd/-
JUDGE

KSVH

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